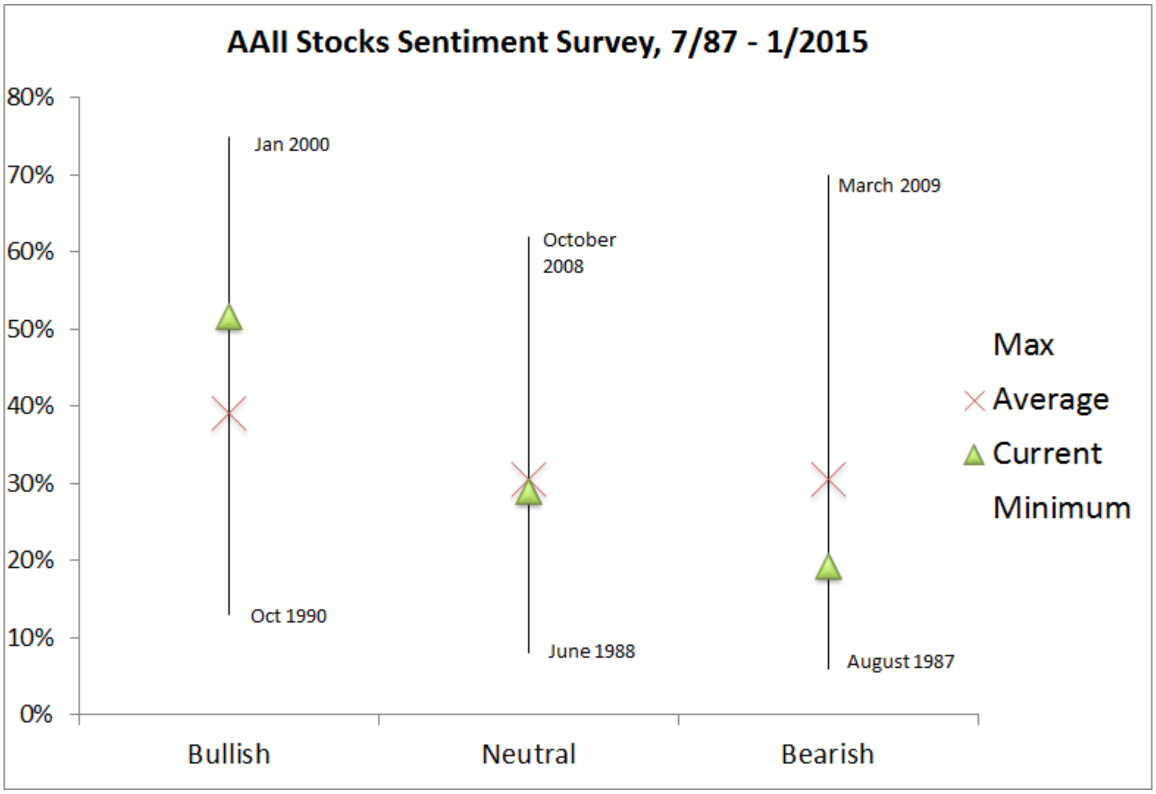
FIGURE 43 – AAII Sentiment Survey



Source: AAII

Thus, first you need to get your emotions in check and have a plan. Then don't do dumb stuff when it gets hard. Easier to say than do, but very necessary.

REBALANCING

We said in our first book *The Ivy Portfolio* that rebalancing matters, as long as you do it *sometime*. The timeframe isn't all that important, and doing a yearly, or even every few year rebalance is just fine. Yearly is just nice since it lets you review your investments, as well as make tax optimal changes. If the accounts are taxable, tax harvesting the losses on a consistent basis can add to your after tax returns. Below is the global market portfolio (GMP) from earlier in the book rebalanced monthly and never, and you can see rebalancing or not the returns are quite similar, and differ by less than 0.50% per year. But 0.50% per year is worth rebalancing for! The nice thing about using an allocation ETF, mutual fund, or automated investment service is that the investment manager does the tax harvesting and rebalancing for you.